

Defendants' belief that Seavey authorized settlement does not constitute a judgmental immunity defense. Likewise, disagreement about the value of trying the Underlying Case is unable to support a judgmental immunity defense. GRANTED

Issue 12: Fifteenth Affirmative Defense (Ratification)

Ratification is "the voluntary election by a person to adopt in some manner as his own an act which was purportedly done on his behalf by another person, the effect of which, as to some or all persons, is to treat the act as if originally authorized by him." (*Rakestraw v. Rodrigues* (1972) 8 Cal.3d 67, 73.) There is a requirement of knowledge of the material facts essential to voluntary ratification. (*Id.* at 74.)

Here, Defendants argue for ratification based on Norris's later signature and her contractual representation of authority. (AUMF p. 133, #18.) Plaintiffs, on the other hand, rely on the absence of a board meeting, the "losing" of the 6/23/23 trial setting, the pending withdrawal motion, and the absence of any pre-approval and communication between Garcia and Norris. (AUMF ##19-21.) The evidence here permits competing inferences on knowledge, authorization, and the scope of any ratification. These cannot be resolved via summary adjudication. DENIED

Issue 13: Sixteenth Affirmative Defense (Release/Accord and Satisfaction)

Without repeating the above, Plaintiffs rely on the absence of a signed settlement document before at least 06/29/23 and on Defendants' discovery responses that allegedly contain no facts. Defendants, however, place the later signed settlement agreement in evidence. (AUMF p. 158, #18.) The agreement's validity and scope, and the negotiation before and after the signing are factual disputes that the record cannot conclusively resolve. Here, Plaintiffs combine the separate concept of accord and satisfaction with release all under Issue 13 and have not eliminated the combined defense in its entirety. DENIED

Grant Issue 1 in part only as to the Association. Grant as to Issues 10 and 11. Deny as to Issues 2 through 9, Issue 12, and Issue 13.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2403909	PALM DESERT SENIOR SOFTBALL ASSOCIATION VS GARCIA	HEARING ON MOTION FOR SUMMARY JUDGMENT ON 1ST AMENDED COMPLAINT OF PALM DESERT SENIOR SOFTBALL ASSOCIATION

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.

This is an action for legal malpractice. Plaintiffs Palm Desert Senior Softball Association (the "Association"), James W. Seavey, and Verna Norris (collectively, "Plaintiffs"), alleges that the Association hired Defendants Aaron F. Garcia and the Law Offices of Aaron F. Garcia (collectively, "Defendants") to represent them in the underlying case, *Palm Desert Senior Softball Association v. Senior Softball of Palm Desert*, case no. PSC2000536 (the "Underlying Case"). Plaintiff Seavey is the Secretary/Treasurer of the Association. Plaintiff Norris is Seavey's wife and served as the President of the Association.

Plaintiffs allege that trial was set for 6/23/23 and that Garcia failed to comply with the Local Rule 3401 pretrial steps. On 6/20/23, Garcia allegedly emailed Seavey: "I cannot wait any longer. I

have to advise the court the case settled. I am going to put the date of settlement as of today.” Garcia then filed a CM-200 notice of settlement on 6/21/23 with the “Unconditional Settlement of Entire Case” box marked, and dated the same for 6/20/23. Plaintiffs allege that no director or officer of the Association signed any settlement documentation before at least 6/29/23. Plaintiffs further allege that the 10/20/19 board minutes reserved any “final decree/decision” to the board’s approval and the President’s signature. After the trial date passed, Norris signed a settlement agreement on 6/30/23. Plaintiffs however argue that it was obtained only after Garcia had threatened to withdraw as counsel, without a board meeting discussion on the settlement, and after losing the 6/23/23 trial setting. On 11/20/23, the court dismissed the Underlying Case with prejudice. The court order recites: “Notice of Settlement filed. No compliance with Local Rule 3401 prior to trial.”

The operative First Amended Complaint (“FAC”), filed 7/31/24, asserts: (1) breach of fiduciary duties by attorney; (2) frauds, misrepresentations, and deceptions; (3) extrinsic fraud on the court; (4) attorney’s professional negligence; and (5) money had and received. Trial is set for 10/2/26.

Defendant’s Motion for Summary Judgment

Defendants move for summary judgment. Defendants argue that Garcia represented the Association alone, not Seavey and Norris, so he owed no duty to the individual plaintiffs. Defendants argue that Plaintiffs cannot show that but for Defendants’ conduct, they would have achieved a better result in the Underlying Case. Defendants argue that Plaintiff later signed an enforceable settlement agreement without fraud/duress. Defendants further argue that Plaintiffs’ incurrence of fees and mitigation expenses are not compensable damages. Defendants contend that fraud and money-had-and-received claims fail. Defendants also assert that the litigation privilege bars the extrinsic fraud claim.

In opposition, Plaintiffs argue that Defendants’ separate statement omits references to the 6/21/23 CM-200, the non-compliance on Local Rule 3401, the 10/20/19 board minutes reserving settlement authority to the board, the 6/20/23 email from Garcia, and the stated reasons on the dismissal order. Plaintiffs assert that disputed evidence exists concerning authority, ratification, causation, and damages. Procedurally, Plaintiffs argue that the notice of motion asks only summary judgment and does not seek summary adjudication in the alternative. (CRC rule 3.1350(b).)

In reply, Defendants argue that Plaintiff’s execution of the settlement agreement caused the dismissal and severed causation. They argue that the fraud claim fails as it lacks allegations regarding reliance and damages. They argue that the money-had-and-received claim also fails as the Association does not claim it paid more than the services were worth.

Summary Adjudication

“A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, [or] that there is no merit to a claim for damages. . .” (CCP § 437c(f)(1).) “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (*Ibid.*) A plaintiff moving for summary adjudication bears the initial burden to prove each element of a cause of action or to show that an affirmative defense has no merit. (*Id.*, §437c(p)(1).) A moving defendant must show that one or more elements of each challenged cause of action cannot be established or that a complete defense exists. (*Id.*, §437c(p)(2).)

“Any doubts as to the propriety of granting the motion are resolved in favor of the party opposing the motion.” (*American Airlines v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1048.) It is improper for the court to weigh the evidence or determine the credibility on a motion for summary judgment or adjudication. (*Binder v. Aetna Life Insurance Co.* (1999) 75 Cal.App.4th 832, 840.) “Instead, the evidence most favorable to plaintiff must be accepted as true and conflicting evidence must be disregarded. The court must give ‘to the plaintiff[s] evidence all the value to which it is legally entitled, ... indulging every legitimate inference which may be drawn from the evidence in plaintiff[s] favor’ ” (*Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086.)

An issue of duty may be summarily adjudicated without disposing of the entire cause of action. (*Linden Partners v. Wilshire Linden Associates* (1998) 62 Cal.App.4th 508, 522.) By contrast, a court may not enter partial summary adjudication on the issue of liability, leaving damages to be tried at a later time. (*Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 243, [a decision on the issue of liability does not result in a judgment until the issue of damages is resolved.]

Procedural Issue(s)

Defendants’ notice of motion requests summary judgment only. It does not identify a cause of action, affirmative defense, claim for damages, or issue of duty for alternative summary adjudication. The separate statement also does not repeat any such issue verbatim and is in violation of Cal. R. Ct. 3.1350. A separate statement must identify each material fact in respect to *each* cause of action or issue. (Cal. R. Ct. 3.1350(d)(1)(B).) It should only include material facts and not facts that are not relevant to the disposition of the motion. (Cal. R. Ct. 3.1350(d)(2).) “The separate statement serves two important functions in a summary judgment proceeding: it notifies the parties which material facts are at issue, and it provides a convenient and expeditious vehicle permitting the trial court to hone in on the truly disputed facts.” (*Collins v. Hertz Corp.* (2006) 144 Cal.App.4th 64, 74.) The court has discretion in denying summary judgment where the party fails to comply with Rule 3.1350. (*Truong v. Glasser* (2009) 181 Cal.App.4th 102, 118.)

Request for Judicial Notice (RJN)

With their reply, Defendants request judicial notice of the Association’s 7/31/26 Statement of Information. Since Defendants first submitted it with their reply, the Court declines to consider it as new evidence on disputed issues of authority, settlement, causation, or damages. DENIED

Evidentiary Objection(s)

Defendants submit 8 objections to Plaintiffs’ supporting evidence. Objection no. 1 to the Seavey Decl., ¶ 3. Seavey states his role and personal participation. OVERRULED Objection no. 4 (¶11) as the timing of Seavey’s knowledge is within his personal knowledge. OVERRULED

Objection no. 2 (¶4) to the extent the testimony offers a conclusion concerning corporate authority SUSTAINED. Objection no. 3 (¶9) as to the conclusion that Seavey lacked authority SUSTAINED. Objection no. 5 (¶15) as argumentative. SUSTAINED As to the Gallivan declaration, sustained as to all of Defendants’ objections to Plaintiffs’ use of their own deposition testimonies to the extent the excerpts are offered for the truth of the deponents’ out-of-court statements.

As to all other remaining objections, the court declines to rule on them as not material to the court’s ruling. (CCP § 437c(q).)

Plaintiffs submit 4 objections to Defendant’s evidence.

Plaintiffs' objections nos. 1 & 2 to the Garcia Decl. ¶¶4 and ¶¶10 SUSTAINED only insofar as they state conclusions that Seavey could bind the Association, or that the court rules required the CM-200 filing; otherwise, the objections are overruled as to Garcia's personal understanding and communications.

Objection no. 3 to the use of the settlement agreement's authority clause as proof of actual authority. SUSTAINED

The Court declines to rule on the remaining objection as immaterial to the court's ruling. (CCP § 437c(q).)

Duty & Attorney-Client Relationship

Defendants concede that the Association was their client. (Garcia Decl. ¶¶ 3-4.) Their argument that Seavey and Norris were not individually represented does not eliminate the Association's claims. The record also creates a factual dispute as to whether Garcia's conduct manifested an individual attorney-client relationship with Seavey.

Here, the record reflects that Garcia testified at deposition that the fee agreement was between Garcia and Seavey "on behalf of" the Association. (AMF #3, quoting Garcia Depo. 67:1-13.) Garcia's law firm addressed its invoices "Bill To: James Searly, 1043 East Suntan Lane, Palm Springs, California 92264." (AMF #4.) Further, the original motion to be relieved checked the box identifying the client as an individual. (Plaintiff's RJN Ex. 5, p. 1, item #4.) Defendants offer competing evidence that the Association alone was the client. (Garcia Decl. ¶ 4.) Whether Norris separately became a client is less supported. However, in any event, resolving that question would not dispose of the action. Also, the fraud claims do not necessarily require an attorney-client relationship.

Ratification, Causation

Defendants have also not established conclusively that the settlement was authorized before the CM-200 or validly ratified afterward. Garcia's declaration and billing entry suggest that Seavey orally authorized settlement (Garcia Decl. ¶ 10), but Plaintiffs dispute and points to competing evidence, such as Seavey's own declaration stating he "did not authorize [Garcia] to file a notice of settlement, and I had no authority to authorize a final resolution of the case in any event." (Seavey Decl. ¶ 9) Seavey also points to the lack of a director/officer signing the settlement before the CM-200 filing. (*Id.*, ¶ 10.) As discussed, the later signature does not conclusively establish informed and voluntary ratification. (*Rakestraw v. Rodrigues, supra*, 8 Cal.3d at 73-75.)

Here, the evidence still shows a dispute as to, for example, what the President knew before signing, whether she signed the settlement under pressure (by the pending withdrawal motion), whether any board limitation on settlement approval had been communicated, and whether the President's 6/30 signature ratified the earlier CM-200 filing, etc. These disputes require credibility determinations that the court could not do on this motion. Further, Defendants' later-settlement theory also does not negate the Local Rule 3401 non-compliance theory. Factual disputes still exist.

Compensable Harm

With their opposition, Plaintiffs rely on two categories of compensable harm: (1) \$44,441.41 in attorney fees and costs that the Association paid Defendants during the representation (AMF

#22); and (2) \$21,642.09 in corrective attorney's fees and costs paid within the Underlying Case after Garcia's withdrawal (AMF #23). (Seavey Decl. ¶¶ 19-20; Gallivan Decl. ¶¶ 2-6.)

Here, the \$44,441.41 fees paid to Garcia for his services are not tort damages. Fees paid to a second attorney to correct errors committed by the first attorney are recoverable only if a plaintiff can prove that they "paid more than the value of the legal services he received." (*Orrick Herrington & Sutcliffe LLP v. Superior Court* (2003) 107 Cal.App.4th 1052, 1060.) "If he can prove he did not receive value for his payment, he may recover damages 'to the extent' the fees exceed the value of the services received." (*Id.*)

Here, attorney Gallivan (the substitute counsel) identifies *some* corrective work performed after his substitution into the case. (see, Gallivan Decl. ¶ 3.) This creates a triable issue as to whether *some* compensable harm exists. As such, Defendants have not negated all compensable harm as a matter of law.

Fraud

As to the fraud claim, Defendants did not eliminate every fraud theory. Plaintiffs produce some e-mail evidence showing that Garcia allegedly told Seavey that the Underlying Case was "a derivative lawsuit" and that board approval was unnecessary. (Gallivan Decl., ¶ 15.) However, the record also shows that Defendants later admitted in a verified response that the Underlying Case was *not* derivative. (Plaintiff's Additional Material Fact ("AMF"), p. 25, #18.) As such, the evidence here presents triable issues concerning a fraud/misrepresentation theory. Plaintiffs also raise a fraud theory in the execution of the fee agreement. However, in any event, Defendants seek summary judgment on the entire action and because triable issues remain as to at least the settlement-related fraud theory, Defendants have not shown entitlement to summary judgment on the entire action.

Money Had and Received

Defendants argue that this claim cannot support return of all fees because they performed legal services and consideration did not totally fail, citing *Brown v. Grimes* (2011) 192 Cal.App.4th 265, 282. Plaintiffs respond that the \$7,500 initial retainer required by the fee agreement was funded by a "personal loan" from Seavey and Norris to the Association. (Seavey Decl., ¶ 6.) Plaintiffs also rely on *Fair v. Bakhtiari* (2011) 195 Cal.App.4th 1135, 1152 to argue that intentional fiduciary misconduct may support a forfeiture of that compensation. Defendants argue that Seavey and Norris should go after the Association in case of non-recovery of the personal loan payment.

Here, the court need not reach the parties' argument and decide whether the 5th cause of action independently survives, as Defendants did *not* notice alternative summary adjudication, and that the other causes of action present triable issues. DENIED

4.

CASE #	CASE NAME	HEARING NAME
CVPS2500325	TORRES ALDAMA VS INDIAN SPRINGS MOBILEHOME PARK HOMEOWNERS' ASSOCIATION	MOTION FOR PROTECTIVE ORDER BY LINDA HARROD, BESSIRE & CASENHISER, INC.

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.